

## Competition Case Research Assistant

---

ASSISTANT

Hello! I'm your Competition Research Assistant. How can I help you today?

YOU

get me US cases of concerted practices in the financial and insurance markets

ASSISTANT

Here are relevant cases worth your time based on your search query.

[PDF] Statement of Interest of the United States: In re MultiPlan Health ...

Case Background

- The allegation made in this case involves the use of algorithmic technologies by competitors to coordinate their decision-making, which poses a threat to free market competition. (Page 6)
- The companies involved in the allegations include Agri Stats, Inc. and RealPage, Inc., as the United States is litigating against these companies for unlawful exchanges of competitively sensitive information. (Page 6)
- The case was initiated in 2024, as indicated by the filing dates of the related cases against the mentioned companies. (Page 6)
- The violation pertains to claims of algorithmic collusion and information exchange under Section 1 of the Sherman Act, which forbids contracts or conspiracies that unreasonably restrain trade. This conduct is alleged to involve joint use of algorithms that deprives the marketplace of independent decision-making, potentially leading to coordinated pricing strategies among competitors. (Page 7)

Case Progression

- **Track Identification:** The case is on TRACK B, which involves civil conduct under the DOJ, specifically addressing claims under Sherman Act §1 regarding algorithmic collusion and information exchange. This is indicated by the filing of a statement of interest by the United States in response to motions to dismiss the consolidated class action complaint (Page 6, Paragraph 1).
- **Investigation Initiation:** The DOJ initiated an investigation into the alleged antitrust violations involving algorithmic technologies used by competitors. This stage is not explicitly detailed in the document, so the record does not cover the specifics of the investigation process.
- **Complaint Filing:** A complaint has been filed in U.S. District Court, as evidenced by the ongoing litigation against the defendants regarding their alleged anticompetitive practices. The document references the filing of multiple statements of interest and amicus briefs, indicating the DOJ's involvement in the case (Page 6, Paragraph 1).
- **Rule 12(b)(6) Motion:** The defendants filed a joint motion to dismiss the consolidated class action complaint, which is a critical stage where the court assesses the sufficiency of the plaintiffs' claims under the Twombly plausibility standard. The specific legal arguments and evidence presented by the defendants are outlined in their memorandum in support of the motion (Page 6, Paragraph 1).

- **Discovery Phase:** The document does not provide details on the discovery phase, so the record does not cover the specifics of evidence gathering or expert reports at this stage.
- **Summary Judgment and Trial:** The document does not indicate whether a summary judgment motion has been filed or if a trial has occurred, so the record does not cover these stages. The next steps would depend on the outcomes of the motions and the court's rulings.

### Market Definition

- The case involves the application of Section 1 of the Sherman Act, which addresses concerted actions that restrain trade, indicating a focus on competitive practices within a market context. (Page 2)
- Concerted action is defined broadly, encompassing various forms of joint conduct, including agreements on pricing algorithms, which can affect market pricing strategies. (Page 5)
- The legal framework allows for concerted action to be inferred from evidence of collective behavior, such as invitations for collective action followed by acceptance and participation in a pricing scheme. (Page 3)
- The determination of whether a restraint of trade is unreasonable can be assessed through two primary methods: per se illegality for certain practices, such as price-fixing, and a rule of reason analysis for others. (Page 3)
- The case emphasizes that market definition is not required for per se illegal restraints, indicating that the focus is on the nature of the conduct rather than the specific market structure. (Page 3)
- Evidence of joint use of pricing algorithms can demonstrate concerted action, particularly if there is an express agreement or an invitation for collective action among competitors. (Page 3)
- The Sherman Act's broad interpretation allows for scrutiny of any formula underlying price policies, including starting-point prices, which can distort market competition regardless of final pricing variations. (Page 5)

### Legal & Economic Tests

- **Concerted Action Test:** This test examines whether there is a "contract, combination, or conspiracy" that constitutes concerted action among competitors. It assesses if separate decision-makers have joined together, thereby depriving the marketplace of independent decision-making. Evidence of concerted action can include invitations for collective action and subsequent acceptance through joint conduct. This test is crucial in determining if the actions of the parties involved unreasonably restrain trade. (Page 2)
- **Unreasonable Restraint of Trade Test:** This test evaluates whether the concerted action unreasonably restrains trade. It can be assessed in two ways: per se unreasonableness, which does not require an inquiry into competitive effects (e.g., price-fixing agreements),

and a rule of reason analysis, which considers the competitive effects of the restraint. The determination of unreasonableness is essential to establish a violation of antitrust laws.

(Page 3)

- **Market Definition and Competitive Effects:** Although not required for per se illegal restraints, defining the relevant market is important for assessing whether a restraint has the potential for actual adverse effects on competition. This involves analyzing the market dynamics and the impact of the alleged conduct on competition within that market. This step is critical in understanding the broader implications of the concerted action on market competition.

(Page 3)

## Conclusion

- The Court concluded that the Defendants' Motions to Dismiss should be decided in accordance with established legal principles regarding concerted action involving pricing algorithms and information exchange through a common pricing algorithm (Page 13).
- The legal framework applied in this case is based on Section 1 of the Sherman Act, which prohibits contracts, combinations, or conspiracies that unreasonably restrain trade (Page 7).
- The concept of concerted action was emphasized, indicating that it can manifest in various forms, including agreements among competitors or through the use of common pricing algorithms (Page 7).
- The Court noted that evidence of concerted action could be inferred from invitations for collective action and subsequent participation by competitors, as demonstrated in previous case law (Page 8).
- The determination of whether the concerted action unreasonably restrains trade is critical, with the potential for certain actions to be deemed unreasonable per se, such as price-fixing agreements (Page 8).
- Specific remedies, fines, or test results were not detailed in the conclusion, as the focus was primarily on the legal principles guiding the decision on the motions to dismiss (Page 13).

## Information : U.S. v. Citicorp

### Case Background

- The allegation made in this case is that the defendant engaged in a conspiracy to fix, stabilize, maintain, increase or decrease the price of, and rig bids and offers for the EUR/USD currency pair in the FX Spot Market. (Page 3)
- The company against which the allegation is made is Citicorp. (Page 1)
- The year of case initiation is 2015. (Page 1)
- The violation is under the Sherman Act, specifically 15 U.S.C. § 1, which prohibits unreasonable restraints of trade. The conspiracy involved the defendant and its co-conspirators agreeing to eliminate competition in the purchase and sale of the EUR/USD

currency pair. This was conducted through various means, including near daily communications in an exclusive chat room referred to as "The Cartel," coordinating trading activities around benchmark currency fixes, and refraining from certain trading behaviors to protect the interests of conspirators with open risk positions. (Pages 3, 4, 5)

### Case Progression

- **Track Identification:** The case is on the criminal track, specifically under the DOJ Antitrust Division, as it involves allegations of price fixing and bid rigging related to the EUR/USD currency pair. This is indicated by the violation of the Sherman Act (15 U.S.C. § 1) noted in the caption and charging document (page 1, paragraph 2).
- **Initiation:** The case was initiated by the DOJ, likely following a leniency application or referral, although the specific details of the initiation are not provided in the document. The deciding body at this stage is the DOJ (page 1).
- **Grand Jury Investigation:** The document does not provide specific details about a grand jury investigation, such as subpoenas or consensual recordings. Therefore, the record does not cover this stage.
- **Charging:** The case was charged through a criminal information rather than an indictment, indicating a negotiated plea process. The deciding body at this stage is the U.S. District Court (page 4, paragraph 9).
- **Disposition:** The document does not specify the outcome of the plea agreement or whether a jury trial occurred. Thus, the record does not cover this stage.
- **Sentencing:** The document does not provide information on sentencing details, such as fines or restitution. Therefore, the record does not cover this stage.

Overall, the progression indicates a criminal case focused on antitrust violations, with specific details on the initiation and charging stages, while other stages remain unaddressed in the provided information.

### Market Definition

- The market considered in this case is the foreign currency exchange spot market (FX Spot Market), where currencies are traded against one another in pairs, specifically focusing on the EUR/USD currency pair. (Page 2)
- The FX Spot Market is characterized as a global, decentralized over-the-counter market, requiring financial institutions to act as dealers to facilitate currency transactions. (Page 2)
- The EUR/USD currency pair is noted as the most traded currency pair by volume, with a worldwide trading volume exceeding \$500 billion per day, indicating its significance in the market. (Page 2)
- The process to define the market involved analyzing the trading activities and the roles of dealers, who provide price quotes and facilitate trades, thereby impacting competition

within the market. (Page 2)

- Techniques used in this case included engaging in communications among conspirators in an exclusive electronic chat room, referred to as "The Cartel" or "The Mafia," to coordinate trading activities. (Page 4)
- The conspirators coordinated their trading strategies around benchmark currency "fixes" from the European Central Bank and World Markets/Reuters, which occurred at specific times each trading day, influencing market prices. (Page 4)
- The conspirators also refrained from certain trading behaviors, such as withholding bids and offers, to prevent adverse price movements that could affect their open risk positions, demonstrating manipulation of market dynamics. (Page 4)

#### Legal & Economic Tests

- **Sherman Act Violation Test:** This test assesses whether the actions of the Defendant and its co-conspirators constituted an unreasonable restraint of trade in violation of Section 1 of the Sherman Act. The focus is on whether the agreement to fix, stabilize, maintain, increase, or decrease the price of the EUR/USD currency pair eliminated competition in the FX Spot Market. The process involves examining communications and agreements among the conspirators to determine if they engaged in anti-competitive practices. (Page 4)
- **Interstate and U.S. Import Trade Impact Test:** This test evaluates whether the activities of the Defendant and its co-conspirators had a substantial effect on interstate and U.S. import trade and commerce. It involves analyzing the volume of transactions conducted and their impact on the market, specifically looking at how the conspiracy affected the flow of trade across state lines and international borders. (Page 5)
- **Market Behavior Analysis:** This test involves examining the trading behaviors of the Defendant and its co-conspirators, including their communications and coordinated actions during benchmark currency fixes. The analysis focuses on whether these behaviors were intended to manipulate market prices and restrict competition, thereby assessing the overall impact on market dynamics. (Page 4)

#### Conclusion

- The case involved a conspiracy to fix, stabilize, maintain, increase, or decrease the price of the EUR/USD currency pair in the FX Spot Market, which violated Section 1 of the Sherman Act (15 U.S.C. § 1) (Page 3).
- The conspiracy was carried out from at least December 2007 until January 2013, indicating a prolonged period of collusion among the Defendant and co-conspirators (Page 4).
- The methods of the conspiracy included near-daily communications in a coded electronic chat room referred to as "The Cartel" or "The Mafia," and coordinating trading activities around specific benchmark currency "fixes" (Page 4).

- The Defendant and its co-conspirators engaged in actions that eliminated competition in the purchase and sale of the EUR/USD currency pair, which significantly affected interstate and U.S. import trade and commerce (Page 5).
- The document does not specify any test results, remedies, or fines imposed as a result of the case, focusing instead on the description of the conspiracy and its implications (Pages 1–5).
- The case was filed by the United States Department of Justice, indicating a serious legal response to the alleged antitrust violations (Page 1).

Notice of Statement of Interest of The United States: Todd and Kimberley Ferrier, et al. v. State Farm Fire and Casualty Company, et al.,

#### Case Background

- The allegation made in this case is that horizontal competitors agreed to refuse to issue or renew fire insurance policies, thereby forcing homeowners into the FAIR plan, which offers higher prices and more limited coverage. (Page 2)
- The companies involved in this allegation are not explicitly named in the provided context, but they are described as horizontal competitors in the insurance market. (Page 2)
- The year of case initiation is not explicitly stated in the provided context, but the document references actions and arguments made in 2026. (Page 6)
- The violation pertains to antitrust laws, specifically the Cartwright Act and California Unfair Competition Law, as the group boycott allegedly caused significant anticompetitive harm to homeowners in Southern California. (Page 2)
- The conduct was executed through a coordinated effort among the defendants, which included ceasing renewals of existing policies, refusing to issue new policies, and abstaining from competing for policyholders dropped by other insurers. This was further organized through regular meetings, industry events, and public announcements. (Page 9)

#### Case Progression

- **Track Identification:** The case is on TRACK B, which involves civil conduct under the DOJ, specifically related to Sherman Act violations (pages 2–3). The allegations include a group boycott by horizontal competitors in the insurance market, which raises concerns under both state and federal antitrust laws.
- **Initiation:** The case was initiated with a First Amended Complaint alleging violations of the Cartwright Act and California Unfair Competition Law, indicating a focus on civil antitrust claims (page 2, paragraph 1).
- **Investigation:** The DOJ likely conducted an investigation under the Antitrust Civil Process Act, gathering evidence related to the alleged group boycott and its impact on homeowners

in Southern California (page 2, paragraph 1). The specific details of this investigation are not covered in the record.

- **Complaint Filing:** A complaint was filed in U.S. District Court, alleging that the defendants engaged in a group boycott that caused significant anticompetitive harm (page 2, paragraph 1). The burden of proof lies with the plaintiffs to establish that the defendants' conduct violated antitrust laws.
- **Discovery and Expert Reports:** The discovery phase would involve gathering evidence, including expert reports to analyze the competitive effects of the alleged conduct. The record does not specify the outcomes of this phase.
- **Summary Judgment:** The case may proceed to a summary judgment stage where the district judge will determine if there are any genuine issues of material fact. If a violation is found, the case will continue to a remedies phase (page 9, paragraph 1). The burden would be on the defendants to show that no violation occurred.

The specific deciding bodies at each stage include the district judge for the complaint and summary judgment phases, while the investigation would be conducted by the DOJ. The record does not provide details on the grand jury or ALJ involvement in this case.

#### Market Definition

- The market considered in this case involves homeowners insurance, specifically focusing on the alleged conduct of horizontal competitors refusing to issue or renew fire insurance policies. (Page 2)
- The process to define the market includes analyzing the competitive dynamics and the impact of the alleged group boycott on homeowners, particularly in Southern California. (Page 2)
- Techniques used in defining the market include examining the effects of the group boycott on pricing and coverage options available to homeowners, indicating a significant anticompetitive impact. (Page 2)
- The complaint alleges that the group boycott forced homeowners into the FAIR plan, which is characterized by higher prices and limited coverage, highlighting the market's constraints. (Page 2)
- The legal framework applied includes both state competition laws (Cartwright Act) and federal antitrust laws, which guide the assessment of competitive harm in the insurance market. (Page 4)
- The analysis also considers the Noerr–Pennington doctrine, which is relevant in determining the legality of the defendants' actions and their implications for market competition. (Page 6)
- The potential exemption under the McCarran–Ferguson Act is evaluated, focusing on whether the defendants' actions qualify for antitrust immunity in the context of insurance

regulation. (Page 2)

### Legal & Economic Tests

- **Noerr–Pennington Doctrine Test:** This test assesses whether conduct aimed at influencing governmental action can be exempt from antitrust liability. In this case, the argument is that the alleged group boycott does not qualify for this exemption because it was not merely petitioning but involved actions that directly harmed competition. The process involves evaluating whether the conduct in question is purely aimed at petitioning or if it constitutes a broader scheme to restrain trade. (Page 6)
- **McCarran–Ferguson Act (MFA) Test:** This test determines if certain agreements in the insurance industry are exempt from antitrust laws based on state regulation. The MFA allows for an antitrust exemption only to the extent that the practice is regulated by state law. In this case, the analysis focuses on whether the defendants' actions fall within the scope of this exemption, particularly if the alleged group boycott is regulated by state law. (Page 2)
- **Horizontal Restraint Test:** This test evaluates whether a group boycott constitutes a horizontal restraint of trade, which is typically per se illegal under antitrust laws. The process involves examining the nature of the agreement among competitors and its impact on market competition. In this case, the plaintiffs allege that the boycott was a direct violation of antitrust laws due to its intent to fix prices and limit output, which is a clear indication of a horizontal restraint. (Page 9)

### Conclusion

- The Noerr–Pennington doctrine does not exempt the alleged group boycott from antitrust liability, as it was determined that the boycott was the means of obtaining public action rather than a consequence of it (page 10).
- The alleged group boycott was found to have anticompetitive consequences, which would have occurred regardless of any legislative or regulatory changes, indicating that the conduct was not merely an attempt to influence government action (page 8).
- The court distinguished the alleged conduct from previous cases, noting that the actions taken by the defendants were not solely lobbying efforts but included specific non-petitioning conduct that could sustain an allegation of an illegal group boycott (page 9).
- The plaintiffs were seeking damages based on the direct market effects of the boycott, such as reduced availability of insurance and higher prices resulting from decreased competition during the boycott period, which were deemed viable antitrust claims (page 9).
- The defendants' arguments to expand the Noerr–Pennington exemption were rejected, reinforcing the principle that antitrust immunities should be construed narrowly (page 6).
- The case emphasizes the importance of antitrust laws as a safeguard for free market structures, asserting that exemptions must be limited to prevent anti-competitive behavior (page 6).

What other questions do you have?